

How restricting diesel exports could hammer global energy markets

送信者: POLITICO Pro Article 受信日時: 2026-09-24 19:26

【メール原文】

Banning the export of diesel would be the most consequential move President Donald Trump has made to intervene in the oil markets since the start of t

Pro is better in the app.

[Click here to download.](#)

How restricting diesel exports could hammer global energy markets

By Mike Soraghan · Sep 24, 2026, 12:25 PM · [View in your browser](#)

Banning the export of diesel would be the most consequential move President Donald Trump has made to intervene in the oil markets since the start of the U.S. war with Iran.

But it is also one of the most perilous options. An export ban would anger some of his top allies in the oil business. And while it might keep diesel prices down, or even lower them for a short time in some areas, the oil industry warns it could backfire by sending fuel prices skyrocketing as production slows.

Why are diesel prices so high?

Diesel prices are high because there is a worldwide shortage of the fuel. The problem is no longer a lack of oil trapped behind the Strait of Hormuz. Now there's a lack of capacity in the world to process the crude into fuel. Refineries in Russia, Iran, Saudi Arabia and other Middle Eastern countries have been damaged in armed conflict. With less being made, the price has gone up.

Diesel is hit hardest because it is the most-used petroleum product in the world.

The United States is the world's largest exporter of diesel and has been setting new records for exports this year, according to ClearView Energy. U.S. Energy Information Administration data shows that exports of U.S. refined products are up more than 12% in the months since the war started.

Crude oil exports are up more than 20 percent, but that has not led to calls for export controls. Commercial inventories of diesel and similar fuels in the United States are 12% below the five-year average.

American refineries have been running at record-breaking rates to supply gasoline, diesel and jet fuel to the world, and also capitalize on the high margins created by the global shortage.

But because diesel and gasoline prices are set globally, the price has risen here along with other countries. While the United States is a net exporter, it still imports some oil, diesel and gasoline.

The idea behind a diesel export ban is to create a surplus in the United States and drive the price down.

But oil companies and other opponents say the story wouldn't end there. Instead, the market would continue to operate and the low prices created by the export ban will cause refineries to rapidly scale back their operations, producing less diesel.

Soon enough, those experts say, prices would rise.

Why is diesel fuel so important?

It's often said that the economy runs on diesel. Diesel price increases can directly lead to inflation. Farmers fuel their tractors and combines with diesel to produce food. All kinds of other industrial machinery runs on the fuel. The goods produced get shipped to stores and warehouses on trains and trucks that run on diesel.

The surcharge for shipping a truckload of goods is 86 cents a mile this week, according to the U.S. Department of Energy . That's nearly triple what it was this time last year.

The price hits rural areas first, which is why farm-state Republicans have led the way this week in calling for a ban on exports. Farmers are beginning to harvest their crops and in northern states, many voters are preparing for winter by buying heating oil, which, like jet fuel, is similar to diesel.

How do fuel prices compare to last year?

Diesel prices have risen much faster and further than either gasoline or oil this year, repeatedly breaking records in recent weeks. On Wednesday, AAA reported the average price of a gallon of diesel was \$6.52, up 21 cents from a week ago and up \$2.83 cents from a year ago.

On the other side of the pump, the national average cost of a gallon of regular unleaded gasoline stands at \$4.47, up \$1.30 from last year. That's a big jump, and higher than usual for this time of year, but not an all-time record.

Oil, too, is elevated because of armed conflict in the Middle East. But it's still not at record-breaking levels.

How did we get here?

Oil has long been seen as a proxy for the price that American drivers pay at the pump, but it's always been imprecise, and global events have made the connection even looser. The problem now is not a lack of oil, but a lack of refining capacity to process it into the gasoline and diesel that consumers use.

Prices of oil and gasoline rose swiftly after the start of the U.S. and Israel launched a war against Iran, which retaliated by effectively closing the Strait of Hormuz, through which one-fifth of the world's crude oil passed before the conflict.

Iran's retaliation against U.S. allies in the region also closed and damaged refineries there. Many of those that could still operate couldn't move their products through the strait.

Seven months into the war, new and intensified conflicts have added to the refining shortage. Ukraine's attacks on Russian oil refineries have severely cut fuel supply into Europe, and advances by Iran-backed Houthi rebels have restricted shipments of oil and refined products on the Red Sea.

Overall, the world is processing about 5 percent less crude oil into products like diesel and gasoline than before the war, according to the International Energy Agency.

Diesel prices are rising faster than gasoline prices because diesel trades on a global market, and it is the most-used petroleum product worldwide, said Tom Kloza, chief energy adviser for U.S.-based fuel retailer Gulf Oil.

"Emerging economies need diesel to power agriculture, industry, and mining before they have mobile citizens demanding gasoline," Kloza said.

Would a ban work?

Oil industry leaders, loudly and almost in unison, say that a ban on exports will actually lead to higher prices.

An analysis issued this week by S&P Global Energy says a ban on exports would immediately cause refineries to dial back operations, leading to a drop in gasoline and jet fuel production.

That would "inevitably lower the supply of gasoline and jet fuel, raising prices of these fuels," the analysis said. "Exposing large swaths of the country to higher-priced imported gasoline."

Members of Trump's administration have issued similar warnings for months, and repeated them even after Trump announced Tuesday that he likes the idea.

"The blunt tool of banning diesel fuel exports definitely doesn't work because the U.S. exports a lot of diesel," Trump's Energy secretary, Chris Wright, said at an event Wednesday morning. "If you can't export the diesel that comes out of our refineries when you run out of places to store it, and you have to reduce U.S. refining, which would put upward pressure on gasoline prices and jet fuel prices."

Industry critics who support export controls say oil companies are pointing to a worst-case scenario of a total and lasting export ban to scare consumers and policymakers away from decisions that cost the companies money. Tyson Slocum, director of Public Citizen's Energy Program, said exports could be restricted based on market circumstances, not simply banned.

"It's a no-brainer that critical energy markets should be subject to public interest regulation," Slocum said. "Unfettered fossil fuel exports provide huge financial profits for the oil industry but leave the US market vulnerable to supply shock."

Even some who say a ban could backfire badly acknowledge it could lower diesel costs in the first few weeks.

"Retaining additional barrels in the domestic market could, at first, lower US diesel prices and provide relief to consumers and fuel-intensive sectors," the S&P analysis states.

But that kind of short-term price drop could be exactly what the White House is looking for.

The dire predictions focus on a quick rise in prices on the coasts, where significant amounts of fuel are imported and therefore subject to the global price that would rise if the U.S. bans exports, noted Gregory Brew, a senior analyst at the Eurasia Group.

At the same time, those predictions say a ban could lower diesel prices in the middle of the country, or at least stop them from rising for a short time, before prices start to rise again. Brew said that's where Trump's political advisors are focused right now, on Senate races in Texas, Iowa, Michigan, Ohio and maybe even Georgia.

“Is it enough to make the potentially negative effects worth it? Maybe,” Brew said, laying out the political considerations. “You’ve got a couple of weeks where diesel at least doesn’t keep shooting up, right? You can keep it where it is, or maybe get it to fall a little bit in a few states.”

Energy and Climate Energy and Climate UK Trade Trade UK Mobility Agriculture and Food Competition and Industrial Policy

Agriculture brew Companies Conflict Department Diesel Energy Energy markets Exports farmers Farms Fossil fuels Fuels Imports Industry Inflation Markets Middle East Mining Mobile Oil Petroleum Produce Regulation Rights Shipping War Donald Trump Georgia Iran Israel Russia Saudi Arabia Ukraine United States

This email alert has been sent for your exclusive use as a POLITICO Pro subscriber. Forwarding or reproducing the article without the express, written permission of POLITICO Pro is a violation of the POLITICO Pro license agreement.

This email was sent to shondo@iies.co.jp

[Update settings](#) | [Unsubscribe from this email](#) | [Unsubscribe from all emails](#)

POLITICO SRL · Rue de la Loi 62 · Brussels 1040 · Belgium